

There are multiple ways to indulge in hedging. We learnt of hedging using options. Another method is the pair hedging. Let us say, in India, Kotak Mahindra Bank and HDFC Bank moves in sync because of similarity in their business nature. So, we can go long on one asset and short on another and therefore manage risks accordingly. Coming back to hedging, it can be done at multiple levels – at position level and portfolio level.

PORTFOLIO LEVEL HEDGING

Portfolio level hedging refers to balancing trades in the portfolio in a way to manage risks automatically. One example of portfolio level hedging is when we balance the long and short exposure of the portfolio. This means, if we are long for assets worth Rs. 1 lac, we are also short for a similar amount. This way, any market-related event which forces the entire market to move in one direction can be neutralized. We can balance different industries that we have exposure to. The key here is that we determine the hedging activities based on the net exposure of the entire portfolio.

POSITION LEVEL HEDGING

Position level hedging refers to hedging every position with hedge assets instead of balancing the same with other trading positions in the portfolio. Position level hedging is done at every level in the trading portfolio. There are multiple ways to hedge. We will typically use options to hedge if we have that size of exposure. Otherwise, we will try to set things off at portfolio level hedging.

Let us take a look at the benefits and cost of hedging. Hedging is the most definite manner of locking in our losses to a limit. We cannot incur losses beyond this under any circumstances. Hedging instruments can absorb gap ups and gap downs as well. This is the major benefit of hedging. The downside is that hedging is expensive. At times, we might incur losses on certain trades only due to the hedging related costs. In times of profit too, hedging costs will eat into the profits. However, in times of loss, hedging will compensate a part of it. Due to these costs, the math of the entire system and strategy might change and the entire system has to be re-worked.